

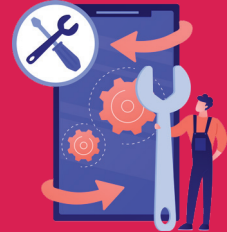
7.3

FIXED ASSETS

CAPEX

In the previous section, we understood about Fixed Assets of the company. In this section, we will discuss CAPEX. Capital Expenditure can be divided into two:

Maintenance CAPEX is the CAPEX or Capital Expenditure that the company does just to keep the current state of production. Thus the company needs a small part of capital at all times in order to maintain the machines and make up for the wear and tear and other depreciating items. This is so that there is no reduction in the company's production capacity. Thus, the amount spent to maintain the current production capacity is known as Maintenance Capital Expenditure or Maintenance CAPEX.



Maintenance CAPEX

The remaining part of CAPEX is known as Growth CAPEX. Growth CAPEX is the amount invested by the company in order to grow the production capacity.



Growth CAPEX

EXAMPLE

If a company wants to go from 100 tonnes per day to 150 tonnes per day, it would need additional investment, which is known as Growth CAPEX.

100 tonnes per day

150 tonnes per day

The company would need additional investment

CAPEX